

compared to the issue price, investors could rush to sell and realise whatever [return is] possible. While the share prices are substantially lower, it does not mean every investor is selling at a loss, simply because most of these allotments were made at substantially lower prices, and the issue price was ramped up when they tapped the capital market,” he explains.

This assumes significance as, in the case of Zomato, the average cost of acquisition for Info Edge (India)—a pre-IPO shareholder of the company—was only ₹1.16 per share. In other words, it would still make a huge profit if it decided to sell its holding at the prevailing market price.

Again, Zomato is not alone. A close perusal of the disclosures made in the draft document of digital companies that went public last year shows that each of them has private equity (PE) and venture capital (VC) shareholders who acquired shares prior to the IPO at a fraction of the issue price. More importantly, all these PE/VC shareholders will soon be able to sell their shares in the open market.

EXIT ROUTE

Sample this: In the case of Policybazaar that listed on November 15 last year, SoftBank’s arm SVF Python II (Cayman) acquired shares at an average price of ₹289.95 while the issue price was fixed at ₹980—a premium of nearly 238 per cent compared to the average price of acquisition. Its share closed at ₹459.50 on July 28.

Similarly, in the case of Paytm, SAIF III Mauritius Company acquired its shares at ₹15.40 while Elevation Capital V FII Holdings bought them at ₹77.70. The acquisition prices for SAIF Partners India IV at ₹305.60; Elevation Capital V at ₹441.80; and Alibaba.com Singapore E-Commerce at ₹583.40 were also much lower than Paytm’s issue price

A YEAR AT THE BOURSES

Company	Date of listing	Issue price (₹)	CMP (₹)	% change*
One 97 Communications (Paytm)	18-11-2021	2,150	699.45	-67.47
CarTrade Tech	20-08-2021	1,618	672.85	-58.41
Windlas Biotech	16-08-2021	460	214.35	-53.40
PB Fintech (Policybazaar)	15-11-2021	980	471.7	-51.87
Zomato	23-07-2021	76	41.65	-45.20
Nuvoco Vistas	23-08-2021	570	322.5	-43.42
Krsnaa Diagnostics	16-08-2021	954	566.9	-40.58
Glenmark Life Sciences	08-06-2021	720	475.7	-33.93
Aptus Value Housing Finance	24-08-2021	353	275.35	-22.00
Chemplast Sanmar	24-08-2021	541	470.5	-13.03
FSN Ecommerce Ventures (Nykaa)	11-10-2021	1,125	1,453.15	29.17
Devyani International	16-08-2021	90	157.55	75.06
Rolex Rings	08-09-2021	900	1,848.75	105.42
Tatva Chintan Pharma Chem	29-07-2021	1,083	2,265.75	109.21

CURRENT MARKET PRICE (CMP) AS OF JULY 26, 2022; *OVER ISSUE PRICE; **SOURCE** NSE

of ₹2,150. The company’s shares closed at ₹715.70 on July 28.

In the case of Nykaa, which is a profitable start-up, entities like Lighthouse India Fund III and Lighthouse India III Employee Trust acquired its shares at ₹76.65, and saw the value of their investments jump nearly 15 times when the issue price was fixed at ₹1,125. Its closing price was ₹1,400.95 on July 28.

Simply put, the PE/VC firms may still sell their holdings once their lock-in expires, even if the market price is below their respective issue prices as they would still be making a decent profit, while investors who bought shares during the IPO would be reeling under heavy losses.

For instance, shares of Paytm may well be trading over 65 per cent lower than its issue price but SAIF III Mauritius Company could still see its investment swell nearly 44 times.

According to market participants, while online majors could

see heightened selling pressure with the lock-ins coming to an end, other companies that listed last year could also meet a similar fate as their pre-IPO investors would be looking to book profits.

The coming months will see the one-year lock-in period ending for companies such as Windlas Biotech, Nuvoco Vistas, Krsnaa Diagnostics, Glenmark Life Sciences, Aptus Value Housing Finance and Chemplast Sanmar, among others. All these shares are currently trading below their respective issue prices and pre-IPO shareholders may partially offload their stakes to cut losses.

That’s not all. Even companies like Devyani International and Rolex Rings that are nearing the first anniversary of their listing and trading above their listing price could see sell-offs, even while doing well in a dull market. **BT**

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